

The proposal is a larger tax on a different set of firms

Chicago's old head tax compared with the proposal: what each charges, and which 2025 employers each threshold would reach

	Old tax	Proposal	
	50 or more employees	500 or more employees	proposal vs old
THE TAX, IN 2025 DOLLARS			
Annual tax per employee	\$69	\$396	6x
Extra tax for reaching the threshold	about \$3,400	\$198,000	58x
CHICAGO FIRMS EACH THRESHOLD WOULD REACH IN 2025			
Firms reached	3,566	243	
Their Chicago employment	751,680	388,336	
Median firm size, Chicago employees	82	900	
Mean Chicago locations per firm	3.4	20.5	
Share with more than one Chicago location	24%	76%	
Median reported sales	\$10.9M	\$193M	
Largest sector, share of employment	Health care, 14%	Health care, 17%	
Employment in portable sectors	28%	30%	
Employment with a vendor-verified headcount	84%	90%	
Single locations at or above the threshold	4,016	198	

Both taxes are notches: a firm at the threshold pays on every employee, so reaching it adds the annual rate times the threshold. Old tax: \$4 per employee per month at 50 or more employees, the full rate until 2011 (\$48 per employee and \$2,400 at the threshold in nominal terms), inflated to 2025 with the CPI-U annual average; halved in 2012 and repealed at the end of 2013. Proposal: \$33 per employee per month at 500 or more. Firm rows apply each threshold to 2025 Chicago employers; they are not counts of who paid the old tax. Firms are corporate parents (Employer's Expense Tax Ruling #2). Government employers and single-location records reporting more employees than their own parent record are removed, the same base as the revenue exhibits. Portable sectors are finance, information, professional and technical services and management of companies. A vendor-verified headcount came from the business rather than being modelled. Sources: Data Axle (Infogroup) 2025 business file; Employer's Expense Tax Ruling #2 (2005), quoting Municipal Code 3-20-030(A); WBEZ, 12 December 2025; Bureau of Labor Statistics CPI-U.